PROGRAM GUIDE

# RBAP Digital Banking Program

*A Collective Modernization Initiative for Philippine Rural Banks*

EDITION 1

PREPARED FOR

**RURAL BANKERS ASSOCIATION OF THE PHILIPPINES**



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change

PUBLICATION RECORD

# RBAP Digital Banking Program

*Program Guide · A Collective Modernization Initiative for Philippine Rural Banks*

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BOARD BRIEFING

# Executive Summary

Philippine rural banks remain indispensable to the communities they serve. They finance farmers, families, entrepreneurs, and local enterprises through relationships built over decades. The question is how these institutions can establish modern digital banking capability without each bank independently carrying the full cost and complexity of building, securing, integrating, and continually renewing the same foundations.

The economics of digital banking have changed. Enterprise cloud operations, modern software delivery, managed infrastructure, API-based banking services, and national payment rails have made capabilities available that once required substantial institution-specific investment. A rural bank no longer needs to create every technical foundation alone. What remains necessary is a coordinated institutional model through which common capability can be shared without weakening the authority, identity, or independence of the participating bank.

The proposed RBAP Digital Banking Program provides that model. It is a voluntary modernization program administered by the Rural Bankers Association of the Philippines for participating member banks. RBAP serves as sponsor, convenor, ecosystem steward, and program administrator. Open Disbursement Technologies, Inc. licenses and maintains the x-change platform. Certified DevOps providers deploy and operate each bank's approved environment under delegated authority. Regulated settlement institutions provide the accounts, banking APIs, payment rails, and settlement services through which authorized instructions are executed.

The Program does not make RBAP a bank, settlement institution, or payment switch. It does not create a pooled customer-funds arrangement or shared production platform.

Each rural bank operates its own licensed deployment. It owns or controls its infrastructure, domains, databases, service-provider accounts, credentials, security configuration, institutional data, release approvals, and production environment. It retains its banking license, governance, customer and deposit relationships, operating policies, and direct settlement relationship. Funds remain within regulated banking relationships, and the settlement institution performs the supported financial movement. x-change coordinates authorized banking activity; it does not replace the bank or become custodian of customer funds.

### Common software does not create a common bank.

What becomes shared is the work no institution benefits from repeating alone: maintained software, supported integrations, implementation knowledge, operating standards, and the engineering discipline required to keep a modern foundation current. Each participating bank decides which services to offer, which policies to apply, which customer journeys to approve, and when a capability is ready for production.

For an individual rural bank, the resulting value is institutional rather than merely technical. The Program provides a reusable foundation through which the bank can introduce modern services without treating each new service as another independent technology project. Remittance, payroll, merchant payments, collections, government disbursements, and future banking services can be organized as distinct banking ceremonies while drawing on the same governed operating model.

As the bank becomes useful across more recurring financial needs, individual transactions can develop into broader banking relationships. A remittance customer may later receive payroll through the same institution. An employer relationship may lead to collections, merchant services, or employee banking. This accumulation of recurring relationships is the basis of Transaction Gravity. Its significance lies not in transaction volume alone, but in the bank's continuing relevance to customers, enterprises, public institutions, and its community.

Remittance provides the clearest illustration of how the Program works. A customer asks the bank to send funds to a recipient under defined conditions. The bank receives the funds, confirms its authority, applies its policies, prepares the service, coordinates settlement, preserves the required evidence, and reconciles the result. The customer experiences a familiar remittance. The bank operates a governed banking ceremony. The Pay Code serves as the credential through which the authorized instruction can be presented and completed.

***The customer requested a banking outcome. The bank arranged it.***

Once that ceremony is understood, other services become recognizable variations of the same banking discipline. The participants, purpose, conditions, and customer journey may change without requiring the institution to rebuild the operating foundation beneath them.

The Board is therefore considering more than a software acquisition. It is considering whether the rural banking sector should establish a continuing institutional capability through which member banks can deepen relationships, adapt to new responsibilities, and extend useful services while preserving their independence. Resilience allows a bank to continue what it already does. Adaptability allows it to assume new responsibilities without rebuilding its foundation each time.

Commercial sustainability remains necessary. Each bank must compare the cost of participation with the cost of building, integrating, operating, securing, and renewing similar capability alone. Potential value may appear through service income, deeper deposit and customer relationships, stronger employer and merchant relationships, reduced duplicated engineering, and the ability to introduce services through an established foundation. None is an automatic return. The commercial model must allocate costs, income, and obligations transparently enough to support continuing service, maintenance, and participation.

If the RBAP Board approves the Program, approval begins an institutional process; it does not place a participating bank into production. RBAP Management establishes program governance, completes the common licensing and participation arrangements, and begins work with the first participating institution. That bank separately approves its own participation, explains how it operates, defines its first banking ceremony, establishes its operating and settlement foundations, confirms operational readiness, prepares its personnel, and begins a controlled production pilot.

Pilot success is judged against evidence agreed in advance. The bank must be able to authorize the service correctly, settle and reconcile it dependably, support customers, resolve exceptions, and maintain the operating discipline required for continued use. The evidence supports an institutional decision: proceed, correct, extend, or pause. Expansion follows only when the bank and Program governance are satisfied that the next step is warranted.

The decision before RBAP is whether to establish this coordinated modernization framework and authorize Management to complete the arrangements required for a controlled beginning. Approval would not compel every member bank to participate, prescribe identical services, or transfer banking authority to the Association. It would create the institutional basis through which participating rural banks may modernize together while remaining independent institutions.

***Participating banks compete independently while modernizing collectively.***

SECTION 1

# Why This Program?

EXECUTIVE QUESTION

Why should RBAP launch the Digital Banking Program now?

KEY MESSAGE

For the first time, the technological, operational, and settlement foundations required for collective digital modernization have converged. What was once prohibitively expensive and operationally impractical is now achievable. RBAP is uniquely positioned to transform these developments into a coordinated modernization program for Philippine rural banks.

EXECUTIVE DECISION

RBAP should evaluate the establishment of the Digital Banking Program because the conditions that make collective modernization practical now exist.

## The Opportunity

For generations, rural banks have been among the Philippines' most trusted financial institutions. They have financed farmers, entrepreneurs, families, and local enterprises while serving communities that larger financial institutions have often found difficult to reach. Their strength has never depended solely on size. It has depended on proximity, relationships, and trust.

That trust remains one of the rural banking sector's greatest strengths.

What has changed is not the mission of rural banking.

What has changed is the technology available to support that mission.

For decades, the economics of digital banking favored only the largest institutions. Banks wishing to modernize were expected to invest in their own data centers, proprietary banking software, dedicated infrastructure, leased communication lines, specialized operations teams, and continuous technology refresh cycles. Digital transformation was not merely a software project—it was a significant institutional undertaking that only a limited number of organizations could realistically sustain.

That environment has changed fundamentally.

Cloud infrastructure has matured into an enterprise-grade operating model. Modern software engineering practices such as continuous integration, automated testing, continuous deployment, infrastructure automation, and managed cloud services have significantly reduced the complexity of delivering and operating sophisticated banking software. Institutions no longer need to build every technological capability independently in order to benefit from it.

The banking ecosystem has also evolved.

National payment infrastructure such as BancNet, InstaPay, and PESONet has established a modern settlement foundation for the movement of funds throughout the country. API-based banking platforms now allow regulated financial institutions to connect to these settlement rails through standardized integrations rather than proprietary interfaces developed independently by every institution.

Taken together, these developments have fundamentally changed the economics of digital banking.

## Why Rural Banks Need Collective Modernization

For the first time, a rural bank with limited internal technology resources can realistically operate modern digital banking capabilities without maintaining a large in-house software engineering organization. Cloud-native operations, managed infrastructure, modern DevOps practices, and API-based settlement services have lowered the barriers to participation while allowing every institution to retain control over its own operations and customer relationships.

**Technology alone does not create a modernization program.**

A coordinated operating model is still required.

Common software must preserve institutional independence. Settlement must remain within regulated financial infrastructure. Every participating bank must continue to own its customer relationships, data, governance, operating policies, and banking relationships. Common capabilities must reduce repeated engineering without creating a common bank, a centralized production environment, or a shared operational authority.

Only recently have these technological advances become capable of supporting a coordinated modernization program specifically designed for Philippine rural banking.

## Why RBAP?

This convergence creates an opportunity uniquely suited to the Rural Bankers Association of the Philippines.

For decades, RBAP has strengthened the rural banking sector by bringing independent institutions together through advocacy, education, professional development, policy engagement, and collaboration. Digital modernization represents the next opportunity through which the Association can create value for its membership—not by becoming a bank, not by operating a payment network, and not by centralizing banking operations—but by coordinating a voluntary modernization program that every participating member bank may adopt according to its own priorities.

## Why Now?

This distinction is fundamental.

The proposed Program does not ask rural banks to surrender their independence.

It asks them to modernize together.

Each participating institution retains its banking license, customer and deposit relationships, governance, cloud environment, operational policies, and settlement relationships. What becomes common is not the bank itself, but the software, operating standards, implementation knowledge, and reusable digital capabilities that no institution should have to build repeatedly on its own.

This is where x-change enters the picture.

Rather than positioning itself as another financial institution, payment network, or digital wallet, x-change provides the common operating framework that enables participating banks to coordinate modern banking workflows while preserving institutional sovereignty. It complements existing regulated financial infrastructure rather than replacing it.

The RBAP Digital Banking Program is therefore not a software deployment.

It is a collective modernization initiative.

It transforms recent advances in cloud computing, modern software delivery, and programmable banking infrastructure into a practical program that participating rural banks can confidently adopt while remaining fully independent institutions.

The question is no longer whether Philippine rural banks can modernize collectively.

The technology now exists.

The settlement infrastructure now exists.

The operating model now exists.

**The opportunity now exists for the rural banking sector to act collectively.**

The RBAP Digital Banking Program is proposed as the mechanism through which that opportunity can be realized.

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## Section Summary

The technological conditions that once limited digital banking to the largest financial institutions have fundamentally changed. Modern cloud operations, API-based settlement infrastructure, and a Philippine-designed banking operating model now make collective modernization both practical and economically achievable. The RBAP Digital Banking Program proposes to transform these developments into a coordinated initiative through which participating rural banks can modernize together while preserving their operational sovereignty, institutional identity, and customer relationships.

SECTION 2

# What Is the Program?

EXECUTIVE QUESTION

What exactly is RBAP being invited to launch?

KEY MESSAGE

RBAP is launching a coordinated banking modernization program—not operating a bank, payment switch, settlement network, or common production platform.

EXECUTIVE DECISION

RBAP can determine whether the proposed Program provides an appropriate institutional structure through which its member banks may acquire, deploy, and operate modern digital banking capabilities while preserving their independent authority and operations.

## Program Overview

The RBAP Digital Banking Program establishes a coordinated framework through which participating rural banks may deploy, operate, and maintain modern digital banking capabilities.

The Program combines licensed software, regulated settlement connectivity, institution-specific deployment, managed DevOps services, platform maintenance, and common operating standards within an institutional program administered by the Rural Bankers Association of the Philippines.

The Program is intended to provide participating banks with the capability to automate authorized front-office and back-office banking instructions, including person-to-person fund transfer workflows, through software-based execution and regulated settlement infrastructure.

Participation does not create a common bank or a centralized production environment. Each participating institution remains responsible for its banking authority, governance, customer and deposit relationships, operating policies, infrastructure, security controls, and settlement arrangements.

The Program provides common technology and coordinated support. Each participating rural bank operates independently.

## Program Participants

The Program consists of organizations with distinct and non-overlapping responsibilities.

The principal participants are:

- the Rural Bankers Association of the Philippines;
- Open Disbursement Technologies, Inc.;
- participating rural banks;
- regulated settlement institutions;
- certified DevOps providers; and
- approved value-added service providers.

RBAP administers the collective Program.

ODTI licenses and maintains the technology.

Each rural bank operates its own licensed deployment.

The settlement institution provides regulated accounts, payment rails, and banking APIs.

The certified DevOps provider performs implementation and continuing technical operations under delegated authority.

Value-added providers may supply services such as cloud infrastructure, database services, messaging, identity verification, location services, notifications, security services, and other required capabilities.

Participation in the same Program does not merge the legal identity, operations, data, funds, credentials, or regulatory responsibilities of the participating institutions.

## Roles and Responsibilities

### RURAL BANKERS ASSOCIATION OF THE PHILIPPINES

RBAP serves as the Program sponsor, convenor, ecosystem steward, and program administrator.

Its proposed responsibilities include:

- establishing the Program for participating member banks;
- administering participation and license-seat allocation;
- coordinating institutional engagement;
- establishing common program standards;
- facilitating relationships among participating banks, ODTI, settlement institutions, DevOps providers, and other service providers;
- supporting sector-level governance and program review; and
- participating in the Program's commercial structure where approved.

RBAP does not operate the participating banks, maintain customer deposits, execute settlement, control bank production systems, or act as a payment switch.

### OPEN DISBURSEMENT TECHNOLOGIES, INC.

ODTI serves as the technology licensor, software maintainer, platform steward, and program technology authority.

ODTI provides the x-change software platform, its supporting components, and the default host application presently represented by x-Payout.

Its responsibilities include:

- maintaining the licensed software;
- publishing maintained releases;
- maintaining supported integration components;
- providing technical documentation and reference configurations;
- supporting compatibility and platform evolution;
- defining certification requirements for approved implementation and DevOps providers;
- supporting implementation governance; and

- monitoring authorized platform and transaction operating indicators required to maintain software quality, interoperability, and program health.

ODTI does not become the participating bank, settlement institution, infrastructure owner, or custodian of customer funds.

### PARTICIPATING RURAL BANK

Each participating rural bank deploys and operates a licensed digital banking environment under its own authority.

The participating bank owns or controls its:

- cloud account or approved hosting environment;
- domains;
- application deployment;
- databases;
- customer and institutional data;
- security configuration;
- service-provider accounts;
- credentials and keys;
- release approvals;
- operational policies;
- monitoring and backup arrangements;
- settlement account; and
- settlement API credentials.

The bank remains responsible for its customer and deposit relationships, banking decisions, compliance obligations, operating authority, and approval of production changes.

### SETTLEMENT INSTITUTION

The settlement institution provides the regulated financial infrastructure through which authorized banking instructions are executed.

Under the initial proposed arrangement, NetBank serves as the first settlement institution integrated with the platform.

Each participating rural bank establishes its own banking relationship with NetBank, opens its own settlement account, and receives its own API credentials for supported services and payment rails, including InstaPay and PESONet where available under the applicable arrangement.

The relationship between the rural bank and NetBank is a direct banking relationship. RBAP and ODTI do not become the settlement provider.

### CERTIFIED DEVOPS PROVIDER

A certified DevOps provider onboards the participating bank into the bank's approved technical operating environment and provides continuing infrastructure and deployment support.

Its responsibilities may include:

- provisioning the approved cloud environment;

- deploying the licensed application;
- configuring infrastructure and supported services;
- integrating authorized provider credentials;
- establishing development, staging, and production workflows;
- implementing continuous integration and deployment controls;
- conducting deployment and operational tests;
- maintaining deployment health;
- applying approved software releases;
- supporting backups, recovery, monitoring, and incident response; and
- providing continuing technical maintenance.

The DevOps provider operates only within the authority delegated by the bank.

The bank remains the owner or account holder for its infrastructure, billing relationships, service subscriptions, domains, databases, credentials, and institutional data.

### VALUE-ADDED SERVICE PROVIDERS

A participating bank may require additional services to operate its deployment.

These may include:

- cloud computing;
- virtual machines or managed application hosting;
- storage;
- databases;
- broadcasting and asynchronous processing;
- SMS and other messaging;
- identity and KYC services;
- location services;
- document and evidence storage;
- monitoring;
- cybersecurity services; and
- other approved infrastructure or banking-support services.

The participating bank establishes and funds its own provider accounts unless a different approved procurement arrangement applies.

## Governance Model

The Program preserves institutional sovereignty while establishing common software, implementation, and operating standards.

RBAP governs participation at the program level.

ODTI governs the licensed software, supported integrations, release standards, compatibility requirements, and technology-certification framework.

Each participating rural bank governs its own production environment, banking operations, customer relationships, security policies, provider accounts, release approvals, and settlement authority.

Certified DevOps providers operate within approved technical standards and institution-specific delegations.

Settlement institutions remain responsible for the regulated accounts, banking APIs, payment rails, and services they provide.

The governance model separates program coordination, software authority, bank authority, infrastructure operations, and settlement responsibility. No participant acquires another participant's institutional authority solely through participation in the Program.

## Licensing Model

ODTI provides the Program technology to RBAP under a proposed group-licensing arrangement.

The group license establishes the number of participating-bank seats available under the Program. RBAP allocates a seat to each approved participating member bank and may increase the licensed seat capacity as participation expands.

Each allocated seat authorizes one participating institution to deploy and operate an approved instance of the licensed platform, subject to the applicable participation instrument, software license terms, operating requirements, and program standards.

The bank-level participation instrument should be appropriate to an institutional software program. It may take the form of a participation agreement, sublicense acceptance, accession agreement, institutional software-license acknowledgment, or another approved instrument. The final legal form remains subject to commercial and legal review.

The licensed technology presently includes:

- the x-change platform;
- supporting x-change components;
- the x-Payout host application;
- maintained software releases;
- technical documentation;
- supported integration components;
- reference deployment materials; and
- continuing platform maintenance within the agreed license scope.

Source code access may be provided within the approved licensing and repository-access model. Source code availability does not replace implementation, deployment, integration, operational support, or institution-specific configuration.

The license grants access to the technology.

It does not represent a turnkey deployment without the corresponding implementation and operating services.

## Commercial Model – overview only

The Program separates software licensing from professional and managed services.

The principal commercial components may include:

- the ODTI group license administered through RBAP;

- participating-bank license seats;
- bank onboarding and initial deployment;
- continuing DevOps and maintenance services;
- cloud and third-party service-provider costs;
- supported integration and customization services;
- platform support;
- program administration; and
- transaction-linked commercial participation through the approved Commercial Waterfall.

RBAP may charge participating member banks for Program participation, seat allocation, program administration, common services, or other approved benefits.

Each participating rural bank remains responsible for its institution-specific infrastructure, service-provider subscriptions, settlement banking relationship, deployment, and continuing operations unless the approved commercial arrangement provides otherwise.

RBAP may maintain an account with the settlement institution for the receipt of its approved Commercial Waterfall participation or other Program revenues. Such an account would receive amounts attributable to RBAP and would not serve as the pooled settlement account of participating rural banks.

Detailed pricing, cost allocation, revenue participation, and Commercial Waterfall rules are reserved for Section 6, Appendix C, and institution-specific commercial proposals.

The Program Guide defines the commercial structure.

The proposal to RBAP will define the financial consideration, negotiated terms, implementation commitments, and requested approvals.

## Section Summary

The RBAP Digital Banking Program is a coordinated institutional framework through which participating rural banks may acquire and operate modern digital banking capabilities.

RBAP administers the Program.

ODTI licenses and maintains the technology.

Each participating rural bank owns or controls its licensed deployment, infrastructure, and service-provider accounts, and retains its customer and deposit relationships and direct settlement relationship.

The settlement institution provides regulated accounts, banking APIs, and payment rails.

Certified DevOps providers deploy and maintain each institution's environment under delegated authority.

The Program establishes common technology and coordinated standards without creating a common bank, shared production platform, payment switch, or pooled customer funds arrangement.

SECTION 3

# Why Should a Rural Bank Participate?

EXECUTIVE QUESTION

What does an individual rural bank gain?

KEY MESSAGE

Every participating bank modernizes while preserving its identity, customers, governance, and independence.

EXECUTIVE DECISION

I understand how my institution would benefit from participating in the Program and can determine whether those benefits support further institutional evaluation.

## Modern Digital Banking

Participation enables a rural bank to establish a modern digital banking capability without designing every technical foundation independently.

The platform uses a modular architecture designed for cloud operations and API-based integration. Automated testing, controlled software delivery, infrastructure automation, and continuing operational support are part of the foundation, not additions applied after deployment.

Continuous integration and continuous deployment controls make testing and release processes repeatable. Deployment automation makes approved environments reproducible. Infrastructure automation reduces dependence on undocumented manual configuration.

APIs provide governed integration points for settlement institutions and other approved service providers. Monitoring, backup, recovery, and security controls form part of the operating discipline surrounding the platform.

These capabilities do not diminish the participating bank's authority over technology decisions. The bank approves its production environment, credentials, integrations, operating policies, and software releases. Modern engineering practices allow that authority to be exercised with greater consistency.

The result is not a generic banking application presented as a complete digital bank. It is a current, extensible digital operating environment on which the institution can develop banking capabilities according to its requirements and under its authority.

## Independent Operations

Operational sovereignty remains with each rural bank.

The participating institution owns or controls its cloud account, infrastructure, application deployment, databases, institutional data, domains, service-provider accounts, credentials, monitoring, backups, and release approvals.

The bank establishes its own settlement relationship and operates under its own banking authority, governance, compliance obligations, and security policies.

Infrastructure is only one expression of this independence.

Each institution determines the customer experience through which its services are presented. It controls its operating workflows, commercial participation, branding, domains, notification channels, and SMS sender identity. Customer communications, KYC progression, banking ceremonies, default riders, institution-specific API endpoints, and approved service integrations likewise remain under its direction.

Common software does not require common presentation, common customer policies, or a common operating identity. Two participating banks may share the same engineering foundation while presenting different services, experiences, and institutional identities. Each may evolve according to its own strategy and the needs of its community.

The Program therefore enables each participating institution to establish its own digital banking platform. That platform reflects the institution's strategy and can develop with it over time.

It does not prescribe a complete online banking stack, replace the core banking system, or require the institution to adopt another organization's model of digital banking.

The Program supplies a maintained engineering foundation and coordinated operating support. The institution determines how that foundation is expressed through its services, policies, relationships, and identity.

The result is a digital presence recognizably the bank's own, built on a common foundation it does not have to create alone.

## Common Licensed Software

Modernization no longer needs to begin as a software construction project.

Participating banks begin with common licensed software already engineered for operational use. The Program provides a maintained platform, supporting components, reference architecture, deployment materials, integration components, and an approved framework for implementation and continuing operations.

This common foundation covers work that every institution would otherwise repeat. It establishes environment structure, deployment patterns, software release practices, integration approaches, operational controls, technical documentation, and baseline monitoring and recovery arrangements.

Reuse reduces duplicated engineering while preserving institution-specific deployment and authority.

The reference architecture provides an established starting point. Deployment automation applies that architecture consistently within the bank's approved environment. Certified DevOps providers bring defined implementation and operating practices.

Maintained releases allow the platform to evolve without requiring each participating bank to establish a separate software product organization.

Implementation still requires institutional preparation. The bank must establish its infrastructure, provider relationships, settlement connectivity, credentials, approvals, and operating responsibilities. The Program does not remove those obligations, nor does it make deployment turnkey or eliminate the need for implementation services.

It does, however, change the starting condition. The institution begins with an engineered and supportable foundation rather than an unformed technology project. Modernization becomes a governed implementation of established capability, supported by common standards for continuing operation and controlled evolution.

## Shared Standards

Common software becomes institutionally useful only when it is supported by common standards.

The Program sets shared expectations for engineering, integration, deployment, releases, documentation, testing, security, and operations. These standards enable participating banks, ODTI, certified DevOps providers, settlement institutions, and approved service providers to work within a consistent frame of reference while retaining their separate responsibilities.

Shared standards support interoperability by defining compatibility expectations for integration components and software releases.

They support consistent quality through repeatable testing, controlled deployment, observable operations, documented recovery practices, and approved change processes. They also make provider certification meaningful by establishing the operating disciplines against which implementation capability can be assessed.

The standards do not create shared production authority. Each bank continues to approve its own releases, manage its credentials, govern its environment, and determine which supported capabilities it will adopt. A common standard defines how an approved capability should be implemented; it does not decide whether or when a bank must use it.

This distinction allows common standards to increase institutional independence. Banks gain access to continuing software evolution and a broader implementation ecosystem without becoming dependent on undocumented, institution-specific engineering. Predictable operating practices make future change more manageable while leaving institutional decisions with the bank.

That distinction becomes critical when the platform connects to regulated settlement infrastructure.

## Settlement Connectivity

Digital banking capability must remain connected to regulated financial infrastructure.

Each participating rural bank establishes and maintains its own relationship with its settlement institution. The bank holds its own settlement account, controls its own provider credentials, and retains authority over the banking instructions executed through that relationship.

Participation in the Program does not pool settlement accounts or transfer settlement authority to RBAP, ODTI, or a DevOps provider.

Customer funds remain in the participating bank's custody and under its banking responsibility. Customer and deposit relationships remain with the bank.

x-change does not receive deposits, hold customer funds, issue a wallet balance, or become the settlement institution. It provides digital operating capability through which authorized instructions can be coordinated under the bank's policies and authority.

This structure enables a participating institution to use modern settlement connectivity without surrendering custody, institutional accountability, or control of its regulated relationships.

Section 4 explains the operating model through which Funding Events, Treasury, Facilities, Settlement Envelopes, Pay Codes, and Execution are coordinated. At this stage, the essential point is narrower: the technology enables activity, while the bank retains the funds, relationships, credentials, and authority.

With those boundaries clear, the bank can decide which new services to introduce.

## New Banking Services

The value of a digital banking platform lies in the services an institution chooses to operate through it.

Participating banks may introduce capabilities such as payroll, merchant payments, collections, remittances, government services, customer engagement, and other modular banking services supported by the Program.

Adoption may follow institutional priorities rather than a single prescribed sequence. A bank may begin with one bounded service and add capabilities as governance, operating readiness, and customer demand develop.

These services create value beyond the execution of individual transactions.

A payroll relationship may create opportunities for recurring deposits, employee services, and broader financial relationships. Merchant payments may support merchant acquisition, collections, liquidity visibility, and continuing business engagement. Remittance services may create opportunities to serve both recipients and the families or enterprises connected to them. Government services may strengthen an institution's relevance to local agencies, beneficiaries, and community programs.

Banking services create relationships, and those relationships can reinforce one another. Consistently serving recurring needs makes the institution more relevant to the ordinary financial activity of its customers and community.

Over time, customers and businesses naturally return to institutions that remain useful across more of their financial needs.

This accumulating institutional relevance is **Transaction Gravity**.

Its value is not transaction volume for its own sake. It is the opportunity for a rural bank to strengthen deposit and merchant relationships, customer engagement, and local relevance by becoming useful across more recurring financial activities.

The objective is therefore not only to execute transactions, but to strengthen the institution's place in the financial lives of its customers and communities. Sustaining that relevance requires innovation at a manageable cost.

## Lower Cost of Innovation

The cost of modernization is not limited to initial implementation. It includes the continuing work required to maintain software, integrations, infrastructure compatibility, security practices, deployment processes, documentation, and operational readiness.

When every institution addresses that work independently, engineering investment is repeatedly spent on the same foundations. The resulting systems may also become harder to maintain as providers, interfaces, operating environments, and regulatory expectations change.

Through the Program, participating institutions share the benefit of common engineering. ODTI maintains and evolves the licensed platform. Reference architecture and deployment automation reduce repeated implementation work. Certified DevOps practices support continuing operations.

Shared standards allow improvements to be introduced through maintained releases and supported integrations without requiring separate reconstruction at every bank.

Each institution still funds and governs its own deployment, providers, integrations, and approved changes. Shared investment does not eliminate institution-specific cost or responsibility. It reduces the need for each bank to recreate the common software foundation before it can focus on the services and operating decisions that distinguish the institution.

This model can also reduce technology risk. Maintained software, controlled releases, repeatable deployment, and a defined support ecosystem make change more observable and more manageable. New capabilities can be considered as extensions of an operating foundation rather than as reasons to replace that foundation.

Lower cost of innovation therefore means more than lower expenditure. It means preserving the institution's capacity to modernize continuously without repeatedly rebuilding its technology base.

Technology serves the institution best when it can adapt to the institution's strategy, authority, and community. The institution should not have to surrender those qualities in order to use modern technology.

Modernization can then become a continuing institutional capability rather than a recurring project to replace or rebuild technology.

The operating model that follows shows how this capability works in practice.

SECTION 4

# How Does the Program Work?

EXECUTIVE QUESTION

How does the operating model work?

KEY MESSAGE

Banks retain custody and authority. x-change orchestrates modern banking operations.

EXECUTIVE DECISION

I understand where funds remain, where authority resides, how banking instructions are prepared, and how the Program coordinates execution without displacing the participating bank or its settlement institution.

The operating model connects bank authority to regulated settlement through an institution-owned digital environment.

The participating rural bank maintains the customer relationship, accepts deposits, establishes banking policy, authorizes banking activities, and remains responsible for regulatory compliance.

Its settlement institution maintains the regulated account and executes supported settlement instructions. The applicable banking agreement, mandate, standing instruction, participation instrument, or other approved instrument provides the authority under which the bank acts.

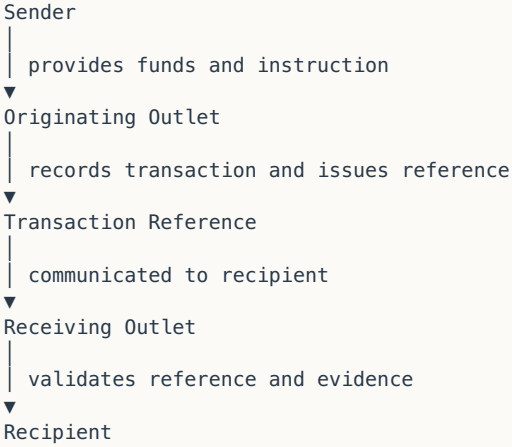
Between authorization and settlement, x-change coordinates the required banking activities. The model keeps five concerns distinct: supporting funds, authority to act, banking purpose, readiness conditions, and the instruction presented for execution.

A traditional remittance service offers a familiar operating pattern. A sender provides funds and an instruction at an originating outlet. The provider records the transaction and issues a reference, which the sender communicates to the recipient. A receiving outlet validates the reference and required evidence before releasing the funds.

The reference carries the instruction while the provider retains custody until release. The recipient presents the reference and satisfies the applicable requirements. Within this familiar pattern, software can automate the recording, communication, validation, monitoring, and back-office coordination. The same pattern can support payroll, collections, merchant payments, government disbursements, and other banking services.

FIGURE PLACEHOLDER

**Familiar Remittance Pattern**




## The Digital Rural Bank

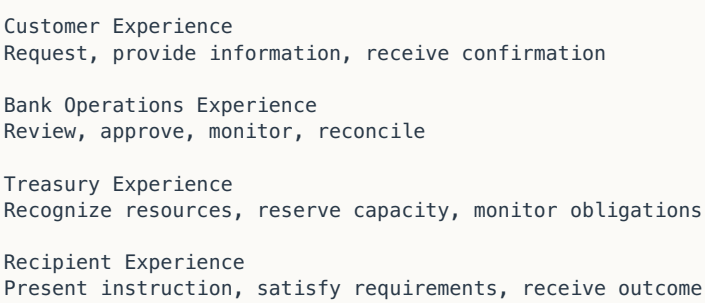
The digital rural bank is the same participating institution operating through an additional banking environment. Its policies, responsibilities, and customer relationships remain continuous across branch and digital activity.

Customers may initiate an activity through a branch officer, web interface, mobile interface, QR code, SMS instruction, or another approved channel. Bank personnel review the request, apply policy, collect evidence, authorize activity, monitor completion, reconcile outcomes, and provide support. Treasury personnel receive an operational view of resources, reservations, obligations, and remaining capacity. Recipients present the authorized instruction, satisfy the applicable requirements, and receive the banking outcome.

These experiences differ, but the activity belongs to one institution. The perspectives below show how participants encounter an environment that extends the bank's operations while preserving its core systems and responsibilities.

FIGURE PLACEHOLDER

**Operating Perspectives**



## Bank Ownership

Each participating rural bank owns or controls its cloud or approved hosting account, deployment, databases, domains, institutional data, provider accounts, credentials, security configuration, release approvals, monitoring, backups, and operating policies. It also retains its customer relationships and direct settlement relationship.

Common software and shared standards reduce repeated engineering while each deployment remains separate. Two banks may use the same maintained platform while operating different services, workflows, KYC requirements, default riders, commercial rules, communications, domains, and SMS sender identities.

The resulting environment remains under the participating institution's control and expresses how that institution conducts its business.

## DevOps Operating Model

The operating model separates software stewardship, environment operation, and banking authority.

ODTI maintains the licensed software and supported integrations. A certified DevOps provider deploys and operates the bank's environment within its delegated scope. The participating institution owns the relevant accounts and credentials, approves production changes, and governs the banking activity conducted through the environment.

DevOps responsibilities may include infrastructure provisioning, configuration, continuous integration and continuous deployment, application deployment, monitoring, backup, recovery, incident response, provider integration, and application of approved releases. This arrangement gives the bank an established implementation and operating capability while preserving its authority over production and banking decisions.

## Settlement Partners

Each participating rural bank maintains a direct relationship with its settlement institution. The bank holds its own settlement account, controls its API credentials, and authorizes the instructions submitted through that relationship.

The settlement institution provides the regulated account, supported banking APIs, payment rails, and settlement services. It performs the supported financial movement in response to instructions authorized through the bank's established relationship.

NetBank may serve as the initial integrated settlement institution. Additional regulated settlement relationships may be supported as approved integrations become available.

RBAP administers the Program, ODTI maintains the licensed technology, and the certified DevOps provider operates the deployment. The participating bank governs the banking activity, and the settlement institution performs regulated settlement.

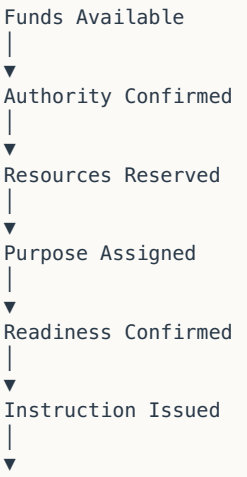
## Banking Model

A banking activity requires funds and authority directed toward an identified purpose. The applicable customer agreement, institutional mandate, standing instruction, participation instrument, or other approved authority establishes the basis upon which the participating bank may act.

The bank recognizes the settlement resources supporting the activity, reserves the required amount, assigns the banking purpose, confirms operational readiness, and issues the authorized instruction. That instruction then proceeds through the bank's regulated settlement relationship.

FIGURE PLACEHOLDER

**Operating Flow**




The following components give the bank an operational representation of each stage while preserving the underlying authority and settlement relationship.

## Treasury

Treasury is the bank's operational view of the settlement resources supporting its digital banking activities. The underlying funds remain within the regulated banking relationship.

This view records resources recognized, resources reserved, obligations outstanding, capacity remaining, and activities completed or released. Bank personnel can therefore assess what is available, what has been committed, and what requires resolution.

When an identified amount must be reserved for an authorized purpose, Treasury records a **Lien**. The Lien prevents reserved resources from being treated as available for another activity while the original instruction remains outstanding.

The Lien is the Program's operational representation of that reservation, subject to the applicable legal and banking instruments. It may be consumed upon successful settlement; released upon cancellation, rejection, or expiry; or otherwise resolved according to institutional policy.

## Funding Events

A Funding Event records the bank's recognition that settlement resources have become available. It connects an external banking event to the operational state maintained in Treasury.

The event may arise from a customer deposit, payroll prefunding, merchant settlement, government allocation, institutional funding, or another regulated financial event recognized by the participating bank. Financial value arises from that external event; the Funding Event records its operational recognition.

For audit and reconciliation, the record identifies the relevant institution, source, amount, currency, date, external reference, and other information required by the bank's operating policy.

## Facilities

Once resources are recognized, the bank assigns them to a banking purpose through a **Facility**. A Facility defines how a particular activity is conducted, such as payroll, collections, merchant payments, government disbursement, or remittance.

Through the Facility, the institution may apply its policies, commercial rules, default riders, approvals, customer communications, and service integrations. A payroll Facility may govern employer funding and employee instructions; a collections Facility may govern attribution to an account or obligation; and a government-disbursement Facility may govern eligibility, release conditions, and reporting.

Facilities allow each bank to express how it conducts business without changing the common Treasury model.

## Settlement Envelopes

Different banking activities become ready for execution under different conditions. A **Settlement Envelope** defines the requirements that must be satisfied before an instruction may proceed.

Those requirements may include identity verification, KYC status, a one-time password, signature, documentary evidence, location, institutional approval, beneficiary information, provider confirmation, transaction limits, or other approved inputs. A payroll instruction may require a different envelope from a merchant payment or government disbursement.

The participating bank determines the requirements. The platform applies them consistently and retains the associated evidence for the activity.

## Pay Codes

Once the bank has authorized an instruction and the required conditions are satisfied, that instruction must move from internal approval to presentation. A **Pay Code** represents it in a form that can be communicated, presented, validated, and executed.

The Pay Code may appear as text, a QR code, barcode, printed reference, or another supported representation. It identifies the instruction and allows a recipient, merchant, branch officer, system, or service provider to resolve it within the issuing institution's platform.

Validation confirms that the instruction exists, remains active, has not already been fully executed, continues to satisfy the applicable conditions, and is presented according to the issuing bank's rules. Like the reference used by a traditional remittance service, the Pay Code carries the instruction from authorization toward execution while funds remain within the regulated banking relationship.

## Execution

Execution coordinates the final progression from an authorized instruction to the banking outcome defined by the Facility.

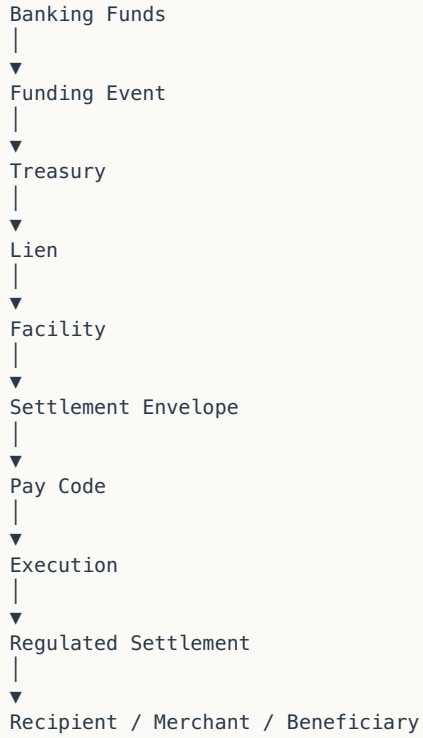
Before proceeding, the platform confirms the instruction, applicable Lien, Treasury state, Settlement Envelope, institutional policy, and settlement readiness. The participating bank then submits or approves the corresponding action through its regulated settlement relationship. The settlement institution performs the supported financial movement.

The platform records the result, updates operational state, consumes or releases the Lien, preserves evidence, and supports monitoring, reconciliation, reporting, and customer communication. The outcome may be completed, pending, failed, or subject to review under the bank's operating policies.

The end-to-end view places Execution within the Program's operating grammar.

FIGURE PLACEHOLDER

**End-to-End Banking Activity**




The participating rural bank retains its customer relationships, policies, infrastructure, and banking authority. Funds remain within its regulated banking relationship.

The applicable mandate or other approved banking authority permits the bank to act. Its settlement institution performs regulated settlement.

Funding Events recognize resources. Treasury maintains their operational state, and Liens reserve them for authorized purposes.

Facilities define the banking activity. Settlement Envelopes establish readiness, Pay Codes carry authorized instructions, and Execution coordinates the resulting outcome.

Section 5 applies this operating model to representative banking activities.

SECTION 5

# Banking in Action

EXECUTIVE QUESTION

What would the Program look like during an ordinary transaction at a participating rural bank?

KEY MESSAGE

The Program does not ask participating institutions to invent unfamiliar banking services. It organizes familiar banking activities using one consistent operating model that can later support many additional services.

EXECUTIVE DECISION

I understand how a participating rural bank can begin with a familiar service such as remittance and progressively modernize payroll, merchant payments, public disbursements, collections, and future banking services without redesigning its operating foundation.

The previous chapter described how the Program works. This chapter makes its operating model tangible through an activity already familiar to many rural banks.

The Program begins with remittance rather than payroll or a large institutional disbursement. Customers understand it, and banking personnel recognize the responsibilities it entails. Within one transaction, the institution receives funds, confirms authority, reserves capacity, applies conditions, issues an instruction, coordinates settlement, and reconciles the result.

Once this ceremony is understood, the same banking discipline becomes recognizable across many other services.

## An Ordinary Banking Request

A customer walks into a participating rural bank.

CUSTOMER

Good morning. I'd like to send ₱5,000 to my mother. I'd also like the bank to require a selfie and a signature before releasing the funds.

The teller reviews the request.

TELLER

Certainly, sir. We can prepare that as a Pay Code remittance. Including the service fee, the total is ₱5,025.

The customer hands over the cash. The teller receives the funds, records the transaction, and prepares the service according to the institution's operating policies.

A few moments later, the teller returns.

> TELLER
>
> Here is your receipt, your Pay Code, and the redemption instructions. Please send these to your mother through a secure channel.

The customer thanks the teller and leaves. The interaction took only a few minutes.

***The customer requested a banking outcome. The bank arranged it.***

## What Did the Customer Purchase?

On the way home, the customer may naturally say:

> I bought a ₱5,000 Pay Code.

Customers often describe a banking service by the instrument or credential they receive. A customer might similarly say:

> I bought a manager's check.

The institution understands the transaction differently. It accepted the customer's funds, applied policy, agreed to perform an authorized banking activity, and issued a credential through which the intended recipient could complete the transaction.

The customer purchased a funded banking outcome delivered through a governed banking service. The Pay Code is the customer-facing credential for that service. The service fee relates to the institution's work in receiving the funds, applying policy, managing readiness, monitoring settlement, maintaining records, and completing the activity.

> **The customer purchases a banking outcome. The institution governs the banking ceremony. The Pay Code allows the customer to participate in that ceremony.**

## A Familiar Banking Pattern

Banks have long offered funded services in which a customer requests a financial outcome, provides funds and instructions, receives an institution-issued instrument or credential, and relies on the bank to complete the intended activity.

A manager's check follows this familiar pattern. The customer requests the check, the bank receives or debits the necessary funds, applies its issuance policies, and issues the instrument.

For the customer, the essential point is simple: the bank has accepted responsibility for completing the requested payment.

A Pay Code remittance follows a similar customer journey. The customer asks the bank to make funds available to another person. The bank receives the funds, applies its remittance policies, prepares the transaction, and issues the credential through which the recipient may complete the service.

The products and legal instruments differ. Their customer journeys express the same banking principle: the customer requests an outcome, and the institution translates that request into a governed banking service.

## Two Familiar Banking Ceremonies

COMPARISON

**Manager's Check and Pay Code Remittance**

| Manager's Check Ceremony | Pay Code Remittance Ceremony |
|---|---|
| Customer requests a manager's check | Customer requests a remittance |
| Customer specifies the amount and payee | Customer specifies the amount, recipient, and conditions |
| Bank receives or debits funds | Bank receives funds |
| Bank applies issuance policies | Bank applies remittance policies |
| Bank issues the manager's check | Bank issues the Pay Code |
| Instrument is delivered | Pay Code is delivered |
| Instrument is presented | Pay Code is presented |
| Bank completes payment | Bank completes the service through settlement |

The comparison concerns customer journeys, not legal equivalence between instruments. Both ceremonies belong to a family of banking services that institutions and customers already understand.

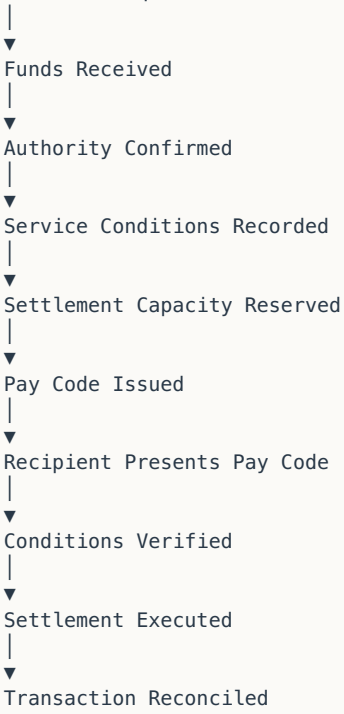
**The Program does not replace familiar banking services. It organizes them through one consistent operating model.**

## What Happened Behind the Counter?

The customer interaction lasted only a few minutes. The institution coordinated a complete banking activity.

FIGURE PLACEHOLDER

**Behind the Counter**




The customer experiences simplicity. The institution performs disciplined banking.

## Four Perspectives of the Same Ceremony

### CUSTOMER

The customer wishes to make ₱5,000 available to another person. He provides the funds, specifies the conditions, pays the service fee, and receives confirmation. From his perspective, the bank has made the intended outcome possible.

### BANK OPERATIONS

The institution receives the funds, records the request, applies policy, prepares the activity, monitors progress, resolves exceptions when necessary, and reconciles settlement. From Operations' perspective, the Pay Code forms part of a governed banking service.

### TREASURY

Treasury maintains the operational state of the settlement resources supporting the transaction. The required amount remains reserved for the activity until completion or other resolution under institutional policy. From Treasury's perspective, the ceremony represents coordinated financial readiness.

### RECIPIENT

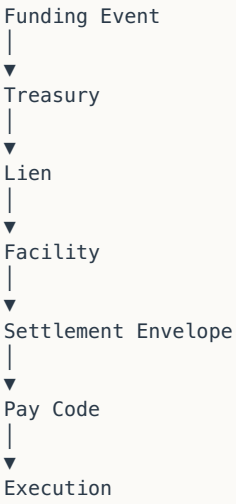
The recipient receives the Pay Code and the bank's instructions. She presents the Pay Code through an approved customer journey, satisfies the required conditions, and receives the funds. From her perspective, the institution has completed the intended service.

## The Operating Model Revealed

The Program coordinated the ceremony through the grammar introduced in Section 4.

FIGURE PLACEHOLDER

**Operating Model**




The bank records its receipt and recognition of the customer's funds as a Funding Event. Treasury maintains the operational state of the supporting settlement resources, and a Lien reserves the amount required for the transaction.

The remittance service is represented as a Facility. The selfie, signature, approvals, limits, and other conditions form the Settlement Envelope. The Pay Code carries the authorized instruction through the recipient journey.

Execution coordinates the transaction through the institution's regulated settlement relationship. The settlement institution performs the supported financial movement.

The customer need not understand this grammar. The institution uses it to govern the service.

## Why Remittance Is the Canonical Ceremony

Remittance is operationally complete and institutionally familiar. A sender provides funds. The institution accepts responsibility. A recipient is identified. Conditions may be established. An instruction is issued. Settlement occurs. The transaction is reconciled.

Every major responsibility of the Program appears naturally within one ordinary banking activity. Remittance therefore provides the canonical ceremony from which other services can be understood.

## One Ceremony. Many Banking Services.

Once the institution understands the remittance ceremony, other banking services become recognizable variations of the same banking discipline. The participants, purpose, conditions, and customer journey may change; the operating foundation remains stable.

**Payroll.** An employer replaces the individual sender, and many employees replace the single recipient.

**Merchant payments.** The recipient becomes a participating merchant.

**Government disbursements.** Public-program rules become part of the service conditions.

**Collections.** The direction of the financial activity changes, and the institution attributes funds to the appropriate account or obligation.

**Future banking services.** New services introduce different business rules, participants, and customer journeys through the same foundation.

## Why This Matters

Beginning with remittance keeps the Program grounded in a banking activity that many institutions already perform directly or through approved arrangements. The ceremony is familiar; the operating discipline is reusable.

The same model may then support payroll, merchant payments, government programs, collections, and future services.

**The institution modernizes one operating model. The institution expands many banking services.**

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## Section Summary

The customer entered the branch with a simple request. The institution transformed it into a governed banking service.

The customer experienced a remittance. The institution coordinated funding, authority, reservation, readiness, settlement, and reconciliation. The Pay Code served as the credential through which the recipient could complete the service.

The Program begins with one familiar banking ceremony. From that ceremony, a participating institution may progressively modernize many others while preserving a common operating foundation.

Section 6 considers the business case for that institutional progression.

SECTION 6

# The Institutional Case

EXECUTIVE QUESTION

If our Board approves this Program, what kind of institution do we become over the next ten years?

KEY MESSAGE

The Program strengthens the institution by deepening banking relationships, building its capacity to adapt, extending its service to the community, and sharing the work of modernization without surrendering independence.

EXECUTIVE DECISION

I understand how participation could strengthen my institution over time and can determine whether that institutional case merits detailed commercial and implementation evaluation.

A Board considering the Program is deciding more than whether to acquire technology. It is deciding what the institution should become capable of doing, repeatedly and responsibly, over the next decade.

A rural bank remains responsible for safeguarding deposits, extending credit, supporting local enterprise, facilitating commerce, and serving its community. The institutional case begins with whether the Program makes the bank better able to carry those responsibilities.

Commercial return matters, but it should be considered in relation to the institution the Program helps the bank become.

## Institutional Strength

An institution becomes stronger when it is useful across more of the financial activity of its customers and community.

A customer who first visits the bank for remittance may later receive payroll through the same institution. An employer that uses payroll may also require collections, merchant payments, or employee services. A merchant relationship may lead to deposits, settlement activity, and a broader banking relationship with the enterprise.

These services matter because they deepen the institution's role in ordinary banking life. They create more reasons for customers, employers, merchants, and public institutions to maintain active relationships with the bank.

The measure is not how many digital services appear on a menu. It is whether the bank can serve more recurring needs while preserving sound policy, clear authority, and dependable operations.

## Relationships Before Transactions

Section 3 introduced **Transaction Gravity** as the tendency for financial activity to return to an institution that remains useful across recurring needs. Its significance is institutional rather than transactional.

A single remittance is a transaction. Repeated remittances can become a customer relationship. Payroll can connect the bank to an employer and its employees. Merchant payments and collections can connect it to the daily activity of local enterprise. Government disbursements can make the institution more relevant to agencies, beneficiaries, and community programs.

The resulting value lies in enduring customer, deposit, employer, and merchant relationships, and in the bank's continuing relevance within its community.

Transaction volume may reflect that activity, but volume alone is not Transaction Gravity. The institution becomes stronger when customers increasingly choose it for more of their financial lives.

## The Capacity to Adapt

Historically, each significant banking service could become another technology project. A new purpose required new software, new integration work, new operating procedures, and another foundation to maintain.

Once the institution has established one governed operating model, a new service can be introduced as a new banking ceremony. The bank applies a different purpose, participants, policies, conditions, and customer journey without reconstructing the foundation beneath them.

This is the **capacity to adapt**. Resilience preserves what an institution can already do. Adaptability allows it to assume new responsibilities without rebuilding its foundation.

The distinction matters over a ten-year horizon. The bank cannot know every service its customers will require, but it can establish the discipline through which future services are governed and introduced.

## Service to the Community

Institutional capability also affects the community the bank serves.

Payroll gives employers and employees a dependable local banking relationship. Remittance connects families. Merchant payments and collections support local commerce. Government assistance can reach beneficiaries through an institution already accountable to its community. Each service is a banking responsibility before it is a digital feature.

Technology is valuable insofar as it helps the institution fulfill those responsibilities.

Commercial performance and public service can arise from the same governed capability. It can strengthen customer relationships while allowing the bank to perform more useful work within its market.

The result is practical rather than aspirational: a capable local institution can support more of the financial activity taking place around it.

## Modernize Collectively. Compete Independently.

Participating rural banks continue to compete through their relationships, services, policies, lending decisions, customer experience, and local knowledge.

What becomes shared is the work no institution benefits from repeating alone: engineering, software evolution, implementation knowledge, operating standards, and the continuing effort required to maintain a modern foundation.

***Participating banks compete independently while modernizing collectively.***

Common capability allows each institution to remain distinct. Each bank decides which ceremonies to introduce, how to govern them, and how they should reflect the needs of its customers and community.

Collective modernization does not create a common bank. It gives independent banks a common basis from which to evolve.

## Commercial Sustainability

The institutional case must ultimately rest on sustainable economics.

Each bank must compare the cost of participation with the cost of building, integrating, operating, securing, and continually renewing similar capability on its own. Shared investment reduces repeated work, but each institution remains responsible for its deployment, providers, integrations, operations, and approved changes.

Commercial value may appear in several forms: service income, deeper deposit relationships, stronger employer and merchant relationships, lower duplicated engineering effort, and the ability to add services without commissioning a new technology foundation each time. None should be treated as an automatic return. Their value depends on the services the bank chooses, the customers it serves, and the discipline with which it operates them.

The Program must account for the responsibilities and costs of RBAP administration, software maintenance, DevOps operations, settlement services, and bank participation. The Commercial Waterfall must eventually make those flows explicit, including how income, fees, and obligations are allocated among participants.

Detailed amounts belong to commercial evaluation. The principle at this stage is simpler: the commercial model must allocate costs and benefits transparently enough to support continuing service, maintenance, and institutional participation.

## The Institutional Decision

The Board is deciding whether the institution should establish a reusable capability through which its governance, customer relationships, banking policy, and operating discipline can be applied to more services over time.

The intended result is a bank that remains recognizably itself while becoming more useful, more adaptable, and better able to modernize with others. Its value will still depend on the choices the institution makes: which services to introduce, which relationships to deepen, and which responsibilities it is prepared to carry.

That is the institutional case for the Program.

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## Section Summary

The Program should be evaluated by the institution it enables the rural bank to become.

Recurring banking ceremonies can deepen relationships and strengthen Transaction Gravity. A common operating foundation can give the bank capacity to adapt. The same capability can support useful community services while shared engineering and standards reduce the work each institution must repeat independently.

Commercial sustainability follows from those institutional effects. It requires disciplined service choices, transparent allocation of costs and income, and a continuing basis for maintaining the Program.

Section 7 considers how that institutional capability may be introduced through a practical and manageable launch.

SECTION 7

# Launching the Program

EXECUTIVE QUESTION

The Board has approved the Program. What happens next?

KEY MESSAGE

Start small, learn quickly, modernize together.

EXECUTIVE DECISION

I understand the institutional sequence from approval to controlled production and can authorize Management to begin Program activation, bank participation, and pilot-readiness work.

Board approval begins the Program. It does not place a participating bank into production.

On the next working day, RBAP Management establishes the authority and accountability required to act on the resolution. It confirms the approved scope, assigns the responsible program leadership, begins completing the common participation arrangements, and identifies the first participating institution under the approved governance process.

The participating bank then makes its own institutional decision. Its Board or authorized Management approves participation, designates accountable officers, and authorizes the relationships and work required to prepare the bank for operation. RBAP approval establishes the Program; it does not replace the approvals of the bank.

From that point, launch proceeds through a sequence of institutional milestones. Each milestone establishes the authority, understanding, or operating confidence required for the next.

## Establish the Program

RBAP first translates the Board resolution into an operating program. Management confirms program governance, the authority delegated to the responsible officers, the process for admitting participating banks, and the common standards that will apply during the pilot.

RBAP and ODTI complete the applicable licensing and program arrangements. The first participating bank completes its participation instrument, engages an approved DevOps provider, establishes or confirms its direct settlement relationship, and approves the institution-specific work required for launch. Final legal forms, commercial terms, and institutional approvals remain subject to the applicable review and authority of each party.

The institutional foundation is in place when every participant understands its role, the required instruments are in place for the work to proceed, and named officers are accountable for the decisions that follow.

## Understand the Institution

Implementation begins with the institution, not the software.

The bank explains the products it offers, the customers and communities it serves, the policies under which it acts, the approvals its personnel exercise, and the way activity moves through its branches, Treasury, operations, compliance, accounting, and customer support. Existing systems, reports, provider relationships, and settlement arrangements are considered in that institutional context.

The bank leads. ODTI, the DevOps provider, and other approved implementation participants learn how it operates and document where the common platform must reflect approved institutional practice. The purpose is not to reproduce every existing procedure. It is to understand which responsibilities must remain, which activities may be simplified, and where a proposed change requires an explicit decision by the bank.

Institutional discovery is complete when the participants share an accurate view of how the bank operates and which banking responsibility the pilot will address first.

## Define the First Banking Ceremony

The first ceremony should be familiar, bounded, and important enough to demonstrate the operating model. Section 5 uses remittance for this reason: customers understand it, bank personnel recognize it, and one transaction exercises funding, authority, conditions, execution, settlement, and reconciliation.

The bank defines how that ceremony should operate within its institution. It confirms the participants, source of funds, approval path, limits, customer journey, evidence requirements, communications, exception treatment, accounting, settlement, and reconciliation. ODTI confirms how the maintained platform supports the ceremony. The DevOps provider and settlement institution identify the operational dependencies within their respective responsibilities.

The customer experience is defined as part of the banking service, not as a separate design exercise. Branding, receipts, notifications, Pay Code presentation, and support communications should make the service recognizably the bank's own while preserving the approved operating model.

The participants also agree in advance how the pilot will be assessed. Measures should address operational reliability, correct authorization, settlement and reconciliation, exception handling, staff readiness, customer comprehension, and the institution's ability to operate the service consistently. Transaction volume alone is not sufficient evidence of readiness.

The first ceremony is defined when the bank approves its operating specification and the evidence by which the pilot will be judged.

## Establish the Operating and Settlement Foundations

The participating bank establishes its approved operating environment. Within the authority delegated by the bank, the certified DevOps provider provisions controlled development, staging, and production environments with the approved monitoring, recovery, security, and release controls. ODTI provides the licensed software, maintained release, supported integrations, and reference materials.

The bank also completes the ceremony's settlement arrangements through its direct relationship with the settlement institution. This includes opening or confirming its account, receiving its credentials, and authorizing testing. The settlement institution provides the supported banking APIs and payment rails.

These arrangements do not establish readiness; they allow the bank to demonstrate it.

The foundations are ready when the bank-owned environment and direct settlement connection are available for controlled end-to-end validation.

## Confirm Operational Readiness

The bank then proves the ceremony from beginning to end under controlled conditions.

Bank personnel carry out the applicable initiation and approval steps. Treasury state, Liens, Settlement Envelope requirements, Pay Code presentation, execution, settlement results, customer evidence, accounting entries, and reconciliation are examined as one banking operation. Failure, delay, duplication, reversal, incomplete evidence, and other exceptions are tested so that the institution understands how they will be identified, escalated, resolved, and recorded.

The DevOps provider demonstrates the operating controls within its scope. ODTI addresses platform behavior and supported integration issues. The settlement institution confirms the behavior of the services it provides. The participating bank decides whether the combined operation satisfies its policies and readiness requirements.

Readiness is therefore an institutional judgment, not a technical declaration. Operational readiness exists when the bank has evidence that the ceremony can be operated, supervised, reconciled, supported, and governed under its authority.

## Prepare the Institution

Operational readiness depends on people as well as controls.

Branch personnel must understand the customer conversation. Operations and Treasury personnel must understand approval, monitoring, settlement, and reconciliation. Customer-support personnel must understand expected outcomes and exception paths. Management must understand the information it will review and the decisions that require escalation.

Training is organized around the banking ceremony rather than the software interface. Procedures, responsibilities, support arrangements, customer communications, and escalation paths are confirmed before any customer is invited to participate.

The institution is prepared when it knows who will operate the service, who will supervise it, who will support the customer, and who may decide when an exception requires the pilot to pause.

## Begin a Controlled Pilot

The pilot is limited production, not a demonstration environment. Real banking activity occurs under the participating bank's authority and through its regulated settlement relationship.

The first pilot should remain deliberately narrow: one participating institution, one familiar banking ceremony, a limited operating scope, and defined measures. The bank may constrain branches, personnel, customers, transaction limits, or duration according to its approved pilot design. The purpose is to observe the complete service under real operating conditions without asking the institution to assume unnecessary breadth.

During the pilot, the bank monitors authorization, customer experience, settlement, reconciliation, exceptions, support demand, and operating stability. RBAP observes program-level lessons. ODTI and the DevOps provider address matters within their respective responsibilities. Changes remain subject to the bank's approval and the Program's release and governance standards.

The pilot is complete when the agreed evidence is sufficient for the bank and Program governance to decide what should happen next.

## Review, Expand, and Grow

The next decision is not automatic expansion.

The participating bank reviews the evidence against the agreed measures and makes the institutional decision:

**Proceed • Correct • Extend • Pause**

A successful pilot demonstrates more than completed transactions. It shows that the institution can authorize the service correctly, settle and reconcile it dependably, support customers, resolve exceptions, and maintain the operating discipline required for continued use.

Expansion should then occur in controlled steps. The bank may extend the ceremony to additional branches or customers, increase approved limits or volumes, or introduce another banking ceremony through the same operating foundation. Each expansion follows the same discipline: define the service, confirm authority and readiness, prepare personnel, operate within approved limits, and review the evidence.

RBAP grows the wider Program by applying what has been learned to the onboarding of additional member banks. Common standards, maintained software, implementation knowledge, and readiness practices improve with each participation cycle. Each new institution still completes its own approvals, operates its own environment, maintains its own settlement relationship, and makes its own launch decisions.

Collective modernization therefore begins with one governed institutional launch and grows by repeating a disciplined process—not by placing every participating bank into production at once.

## Section Summary

After approval, RBAP establishes the Program's operating governance and accountability. The first participating bank authorizes its own participation, explains how it operates, and defines one familiar banking ceremony. The bank then establishes its operating and settlement foundations, validates the complete banking activity, prepares its personnel, and begins a controlled production pilot.

Evidence from that pilot determines whether the institution should proceed, correct, extend, or pause. Expansion occurs one controlled step at a time, and RBAP carries the resulting knowledge into each subsequent participation cycle.

The immediate next step is therefore clear: RBAP Management establishes program governance, completes the common participation arrangements, and begins readiness work with the first participating institution.